

Project Northstar — Final Executive Recommendation

To: Elena Marquez, Group CFO

From: Baker, Project Northstar team

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Subject: Authorize a 90-day evidence mobilization for a federated treasury operating model

Classification: Confidential — Project Northstar simulated client material

Decision requested

Authorize a **90-day evidence mobilization** for a federated treasury operating model, subject to five conditions:

1. Group Treasury owns the enterprise data, policy, control, and performance spine; regional and local teams retain approved execution and emergency rights.
2. Named owners complete the account, payment, mobility, control, service, architecture, cost, and benefit evidence packages before any production go-live.
3. The FY2026 \$1.0–\$1.5m amount remains an initial-stage ceiling—not a budget approval, spend authority, committed funding, cost estimate, or ROI denominator.
4. Day 90 is a separate stop / extend / bounded-pilot decision. It does not authorize production change, cash movement, account closure, labor removal, procurement, benefit recognition, or scale.
5. If global ownership, minimum integration readiness, affordability, or a critical control/service/local-right/rollback gate fails, ACG switches to **local stabilization** while preserving the common data and control minimum.

The Steering Committee should also confirm the seven accountable initiative owners, the exact North America eight-week Q4 freeze calendar, and Rachel Kim's required approval path for any North America production change.

Executive recommendation

ACG should pursue **federated coordination**, not immediate global centralization and not indefinite local remediation. The evidence shows an enterprise problem in visibility, payment operations, ownership, and control, but it does not yet prove transferable cash, realized savings, or implementation returns. A 90-day evidence mobilization is the smallest defensible commitment: it builds the authoritative populations, owner decisions, control evidence, bottom-up costs, and reversible pilot readiness needed for a later investment decision. The design preserves local responsiveness and emergency rights, works around the three ERP environments, and stops value from being booked before Finance can trace it.

What the evidence shows

1. ACG lacks a reliable daily enterprise cash view

- **Fact:** 5,792 of 9,955 supplied account-days were reported on the same calendar date, a 58.18% proxy rate. Twenty-three of 55 accounts use Portal or Spreadsheet reporting; those methods account for all delayed observations in the supplied pattern.
- **Implication:** The first management decision is authoritative source, timestamp, definition, owner, reconciliation, and exception handling—not cash movement.
- **Boundary:** The calculation is a calendar-date proxy, not start-of-day visibility or elapsed-24-hour performance.

2. Liquidity screens identify a validation agenda, not movable cash

- **Fact:** The 14-day \$21m screen passes 168/168 complete windows; \$35m passes 138/168; \$46.2m passes 0/168.
- **Implication:** ACG should build account-level mobility and buffer certification before using the screen in a funding decision.
- **Boundary:** Positive or screened cash is not automatically unrestricted, transferable, operationally surplus, or economically beneficial. Recognized cash value remains \$0.

3. Payment friction is material enough to diagnose and too weakly evidenced to automate broadly

- **Fact:** Within the supplied 7,600 records, manual touch is 31.51%, exceptions 6.30%, late release 5.00%, and cross-border activity 10.34%. Manual-touch records show higher exception and late-release rates than non-manual records, but association does not establish cause.
- **Implication:** Standardize intake, reason codes, cutoff discipline, and event evidence around the highest-friction cohorts before selecting an intervention.
- **Boundary:** The extract is not a certified enterprise population or settlement record. The 120-record Week 3 frame is purposive root-cause evidence, not prevalence or a benefit sample.

4. The value case remains a governed hypothesis

- **Fact:** Four accounts meet the narrow dormant/legacy/zero-supplied-payment screen, with \$7,800/year estimated fees. The management-estimated process file totals 617.72 manual hours/month, while two repair estimates are independent and unreconciled. Diagnostic scenarios retain \$21m / \$35m / \$46.2m, 2 / 4 / 4 candidates, and 50 / 150 / 150 productive hours/month.
- **Implication:** Cash, annual P&L, productive capacity, and risk must remain separate and must be admitted to the benefit ledger only after their distinct evidence gates close.
- **Boundary:** Validated, funded, and recognized cash/P&L/capacity value remains \$0; risk exposure and value are not quantified.

5. Affordability is plausible, not demonstrated

- **Fact:** The provisional analyst-assumption range is \$755k / \$1.155m / \$1.715m one-time and \$175k / \$281k / \$442k recurring per year. The base one-time estimate fits the disclosed ceiling; the high case exceeds it by \$215k.
- **Implication:** Close CR01–CR10 with quotes, estimates, internal capacity, timing, and run costs before funding. A cost above \$1.5m returns for staged approval.
- **Boundary:** These are planning assumptions, not vendor evidence. ROI, NPV, and payback remain unavailable because both cost evidence and recognized benefits are incomplete.

Options considered

Option	Base score	Decision	Why
Local stabilization	72	Retain as fallback	Feasible and locally responsive, but it does not create coordinated enterprise liquidity or a common operating model beyond a controlled feed.
Federated coordination	87	Select as conditional direction	Best balance of enterprise ownership, local rights, staged integration, control, service resilience, and reversibility; leads all five plausible weight sensitivities.
Globally coordinated	60	Hold	Offers scale but is premature without legal/local, architecture, cyber, resilience, cost, service, mobility, and rollback evidence.

The option scores are analyst judgment for design selection. They are not readiness, value, confidence, or funding measures. Critical gates cannot be averaged away by a high score.

Recommended operating model and initiative portfolio

Group Treasury should own global policy, the account/data contract, daily enterprise position, mobility standards, and performance. Regional Finance should own local attestation, service context, and governed execution. Shared Services should own controlled payment intake, file execution, reason-coded exceptions, and root-cause action. The CIO should enable staged connectivity, access, audit trail, cybersecurity, resilience, and support across the existing ERP estate. Finance should control the cost and benefit ledger. Local/BU Finance should retain approved critical-payment and emergency rights.

Seven initiatives implement this model:

1. Cash data and visibility foundation.
2. Liquidity certification and funding discipline.
3. Payment intake, controls, and exception reduction.
4. Account rationalization validation.
5. Staged integration, access, and resilience.
6. Governance, service, and adoption.
7. Benefits, cost, and KPI assurance.

The first 90 days emphasize evidence, definitions, owners, safe design, costs, and rollback—not production automation. Wave 1 (Months 4–6) begins only after separate approvals and outside the applicable North America freeze.

Economics and uncertainty

Value type	Current diagnostic quantity	Recognized today	Admission rule
Cash release	\$21m / \$35m / \$46.2m screens	\$0	VG01–VG05: authoritative source, mobility, buffers, economics, attribution, Finance recognition
Annual P&L	\$3,900 / \$7,800 / \$7,800 fee sensitivities	\$0	VG06–VG07: approved closure, actual fee removal, net costs, Finance approval
Productive capacity	50 / 150 / 150 hours/month	\$0	VG08–VG10: reconciled scope, observed removal, redeployment, no service/control degradation
Risk reduction	Exposure/value not quantified	\$0 recognized-ledger entry only	VG11–VG12: defined event/exposure, likelihood/severity, intervention effect, approved valuation

Do not sum the rows. Cash release, annual P&L, capacity, and risk have different units and recognition rules. One-time and recurring costs also remain separate.

Implementation and governance

The program uses seven non-compensating gates:

- **Day 0 — G0:** authorize evidence mobilization, owners, ceiling treatment, and local fallback.
- **Day 30 — G1:** approve reconciled populations, metric contracts, owners, sources, and calendars.
- **Day 60 — G2:** approve local-right, control, architecture, resilience, and cost evidence or switch/narrow.
- **Day 90 — G3:** decide stop / extend / authorize a separate bounded pilot after baseline, cohort, control, service, affordability, and rollback evidence.
- **Months 4–6 — G4:** production go/no-go, with separate funding and North America freeze/sign-off controls.
- **Months 9–12 — G5:** scale only after like-for-like sustained results and Finance-validated value.
- **Months 15–18 — G6:** transfer stable KPI, support, control, risk, and benefit ownership to business as usual.

The CFO-sponsored Steering Committee meets monthly and owns funding, scope, unresolved cross-functional decisions, and stop/switch/scale choices. A weekly Transformation Office integrates workstreams and maintains the gate, issue, change, risk, decision, and benefit records. Workstream owners operate weekly delivery forums. After G6, the Treasury Operating Council owns BAU performance and policy changes.

Principal risks and mitigations

Risk	Decision impact	Control
Screened cash is mistaken for movable cash	Overstated value or unsafe transfer	Account-level certification; uncertified accounts contribute zero value and no action eligibility
Centralization weakens local service or resilience	Payroll, tax, refund, or supplier disruption	Approved local/emergency rights, blackout calendar, service thresholds, contingency, and ≤4-hour rollback
Data ownership stays ambiguous	Stale or irreconcilable position	G1 source/owner/metric contract; exceptions remain in denominator and receive owners/dates
Costs exceed the ceiling or recurring run cost is missed	Unaffordable scope or hidden operating burden	Close CR01–CR10; separate one-time/recurring budgets; stage or switch if affordability fails
Capacity is converted into premature savings	Unsupported labor action or control degradation	Time study, required-control separation, productive redeployment evidence, Finance approval
North America freeze is missed	Production disruption or stakeholder rejection	Confirm exact dates at G1; no NA routing/workflow production change inside freeze; Rachel Kim sign-off

Decisions and next 90 days

Decision/action	Owner	Due	Completion evidence
Record federated direction, fallback, owners, and boundary	CFO / Steering Committee	Day 0	Signed decision record with conditions
Reconcile 55-account and 7,600-record populations; approve metric contracts	Group Treasurer / CIO / Shared Services	Day 30	Approved population, source, definition, owner, calendar, and gap records
Complete local mobility/closure reviews and critical-service rules	Regional Finance / Legal/Tax / BU Finance	Day 60	Current certifications, local approvals, service/blackout/emergency rules
Complete architecture, cyber, access, resilience, and rollback design	CIO / Control owners	Day 60	Approved design and test/remediation plan
Replace provisional costs with sourced low/base/high evidence	Finance / Procurement / functional owners	Day 60	Closed or explicitly open CR01–CR10 register with timing and run costs
Complete 120-record payment evidence linkage and cause coding	Shared Services Lead	Day 75	Review file, evidence links, reason taxonomy, and intervention recommendation
Present G3 recommendation	Transformation Director / CFO	Day 90	Stop / extend / bounded pilot pack with gate status, costs, risks, targets, and approvals

Sources and limitations

Primary evidence is the supplied ACG dataset and stakeholder/client materials, with reproducible analysis in src/ and data/processed/. Public JPMorgan material is context only and is not evidence of ACG performance, value, or a required product. Legal, tax, regulatory, accounting, cybersecurity, architecture, and control conclusions require the accountable specialists. The operating model, targets, owners, initiative scores, and roadmap are analyst proposals pending client approval.